Industrial Policy in the 21st Century: Historical Insights and Contemporary Challenges

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May 14, 2026

1 Course overview

This undergraduate course explores industrial policy (IP), defined as policies that "explicitly target the transformation of the structure of economic activity in pursuit of some public goal" (Juhász et al., 2024). The course draws on historical evidence to understand the mechanisms through which IP succeeds or fails, and what this implies for contemporary challenges such as green transition and technological change. In the first four lectures, students will learn the conceptual, theoretical, and empirical foundations required to critically evaluate IP. In the remaining eight lectures, students will study a series of historical case studies — ranging from 19th-century trade protection to Cold-War-era R&D policy — each illuminating a distinct mechanism through which governments intervene in the economy.

1.1 Prerequisites

- An introductory course for econometrics or data analysis
- An introductory course in microeconomics

1.2 Fit to the BA curricula

The course helps higher level BA students to learn about a wide range of topics, including government interventions, economic history, and economic development. The course builds on introductory courses in economics and data analysis, aiming to improve and sharpen students' skills especially in empirical analyses, critical thinking, and presentation.

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1.3 Course Objectives

The course provides a comprehensive understanding of:

- The theoretical foundations and economic justifications for implementing industrial policies
- Key factors that determine the success or failure of industrial policies
- Essential microeconomic concepts, including externalities and public goods
- Empirical methods for evaluating policy effectiveness

1.4 Research Methods and Analysis

Students will develop practical research skills through:

- Understanding empirical challenges in policy assessment, particularly endogeneity and non-random policy implementation
- Learning about key econometric methods
- Exploring natural experiments as analytical tools

2 Classes and assessment

2.1 Classes

In lectures 1-4 we will cover conceptual, theoretical, and empirical questions for industrial policy. In Lectures 5-12 we will look into academic publications in top journals that analyze an aspect of industrial policy, focusing on state-of-the-art empirical papers. Lectures 5-12 start with 20 min presentation, which is followed by a discussion and a group exercise. After the break, I will explain the core ideas in the paper, the empirical strategy, and how it relates to the broader context of IP literature.

2.2 Assessment

- 20% of the grade comes from quizzes at the beginning of the lecture covering the readings for the class
- 30% of the grade is the student presentation (alone or in pairs, 20 min in the first 60 minutes of the lecture)

- 50% of the grade is a closed-book written exam at the end of the course

3 Topics

Mandatory readings are shown below. Additional readings are provided on Moodle. Readings, topics, and workload are subject to change, depending on progress, suitability to the course, and new topics and publications not yet included in the course outline

Lecture 1: Introduction to the course and industrial policies (IP)
Reading: Rodrik (2004)

Lecture 2: Theoretical justifications for IP and how they are tested empirically
Reading: Juhász et al. (2024)

Lecture 3: The key challenges of evaluating IP empirically: endogeneity issues and natural experiments
Reading: Lane (2020)

Lecture 4: Origins of IP, focusing on how IP affected great divergence and how the wealth of nations
Reading: Juhász and Steinwender (2024)

Lecture 5: Protection and the infant industry argument: a case study from the Napoleonic blockade Reading: Juhász (2018)

Lecture 6: The role of information frictions: the effect of the transatlantic telegraph network
Reading: Steinwender (2018)

Lecture 7: Place based IP: a lesson from Finnish war reparations
Reading: Mitrunen (2024)

Lecture 8: Export promotion and search-and-matching frictions: finding buyers and suppliers in the 1900 Paris exhibition
Reading: Bekes et al. (2026)

Lecture 9: Targeted IP and industrial development: South Korea's development in heavy industry
Reading: Lane (2025)

Lecture 10: Public R&D and its effect on manufacturing: an example from the Cold-War-era space race
Reading: **?**

Lecture 11: Innovation and intellectual property protection: a case study from airframe design from the 1920s
Reading: Hanlon and Jaworski (2021)

Lecture 12: Identifying successful entrepreneurs: an RCT from Nigeria
Reading: McKenzie (2017)

References

Bekes, Gabor, Matyas Molnar, and Claudia Steinwender, "What Happens in Paris, Does Not Stay in Paris: Trade Fairs and Search and Matching Frictions," 2026.

Hanlon, Walker and Taylor Jaworski, "Spillover Effects of Intellectual Property Protection in the Interwar Aircraft Industry," *The Economic Journal*, 11 2021, *132* (645), 1824–1851.

Juhász, Réka and Claudia Steinwender, "Industrial Policy and the Great Divergence," *Annual Review of Economics*, 2024, *16.*

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Juhász, Réka, "Temporary Protection and Technology Adoption: Evidence from the Napoleonic Blockade," *American Economic Review, 108 (11): 3339-76.*, 2018.

Lane, Nathan, "Manufacturing Revolutions: Industrial Policy and Industrialization in South Korea*," *The Quarterly Journal of Economics*, 08 2025, *140* (3), 1683–1741.

Lane, Nathaniel, "The new empirics of industrial policy," *Journal of Industry, Competition and Trade*, 2020, *20* (2), 209–234.

McKenzie, David, "Identifying and Spurring High-Growth Entrepreneurship: Experimental Evidence from a Business Plan Competition," *American Economic Review*, August 2017, *107* (8), 2278–2307.

Mitrunen, Matti, "War Reparations, Structural Change, and Intergenerational Mobility*," *The Quarterly Journal of Economics*, 10 2024, *140* (1), 521–584.

Rodrik, Dani, "Industrial policy for the twenty-first century," *Available at SSRN 666808*, 2004.

Steinwender, Claudia, "Real Effects of Information Frictions: "When the States and the Kingdom became United"," *American Economic Review*, 2018, *108* (3), 657–696.